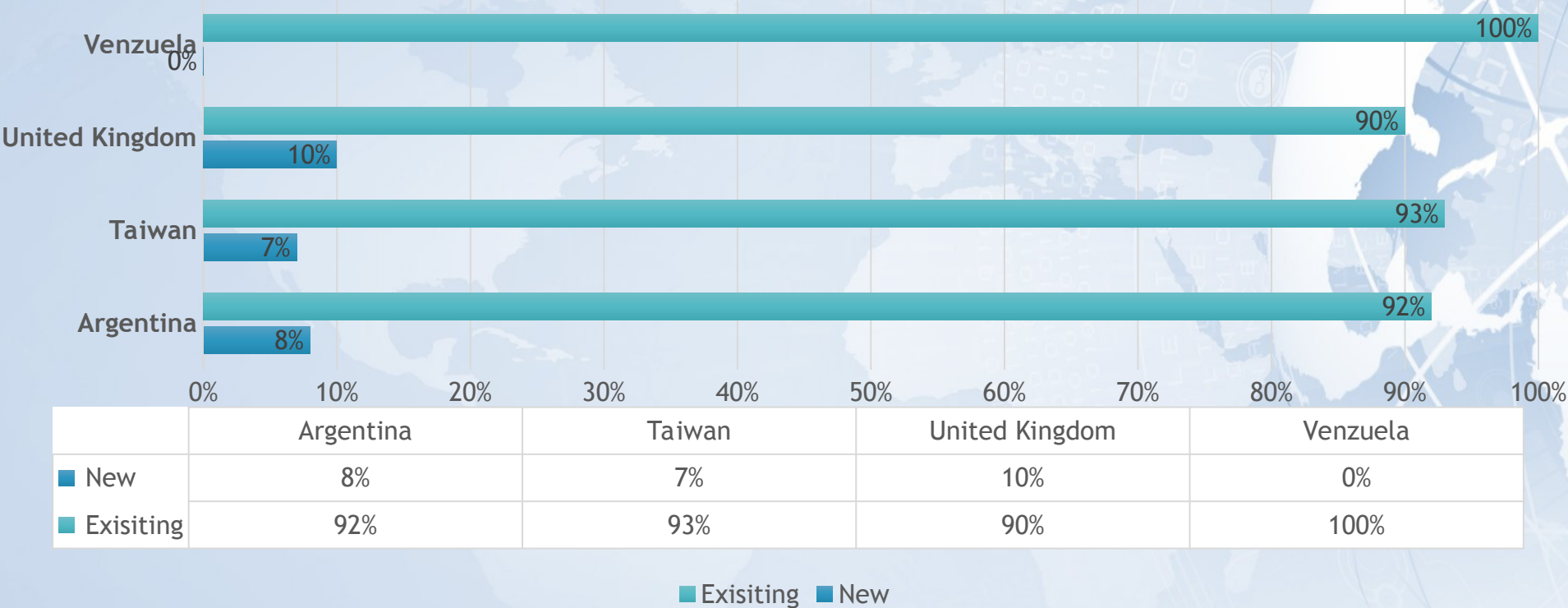


December 2024

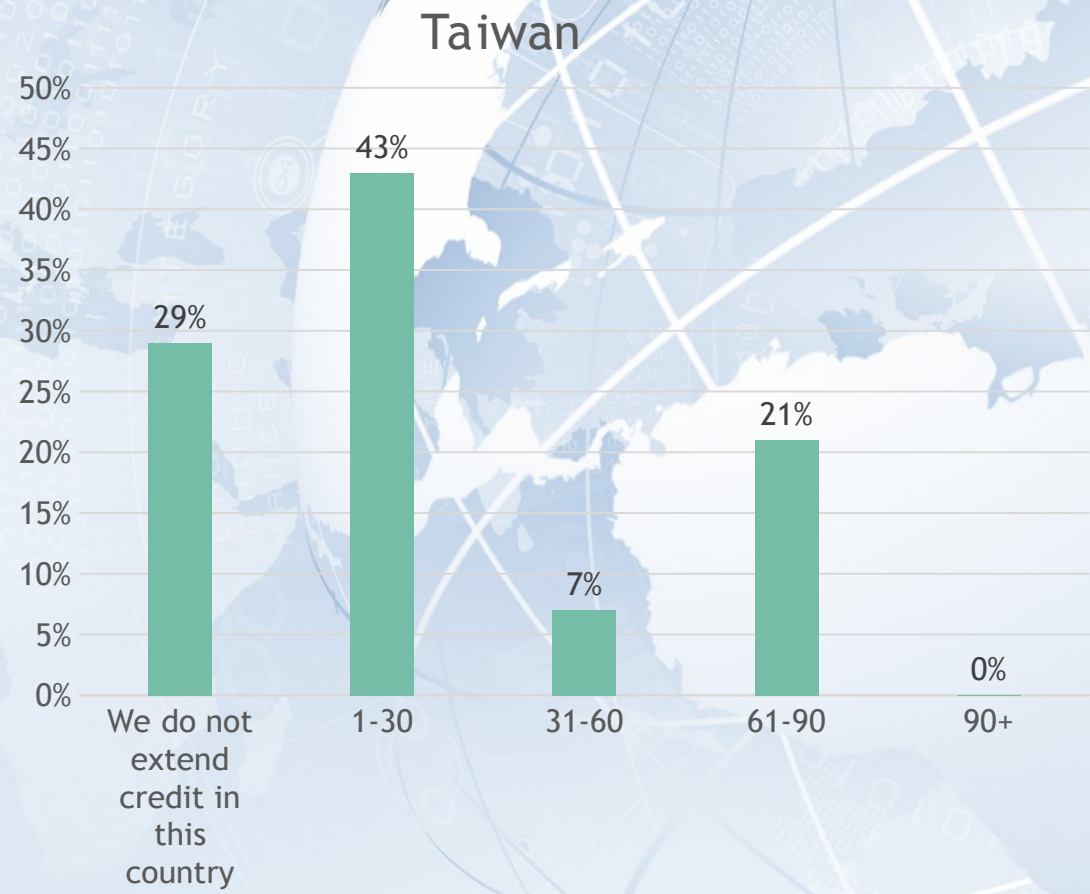
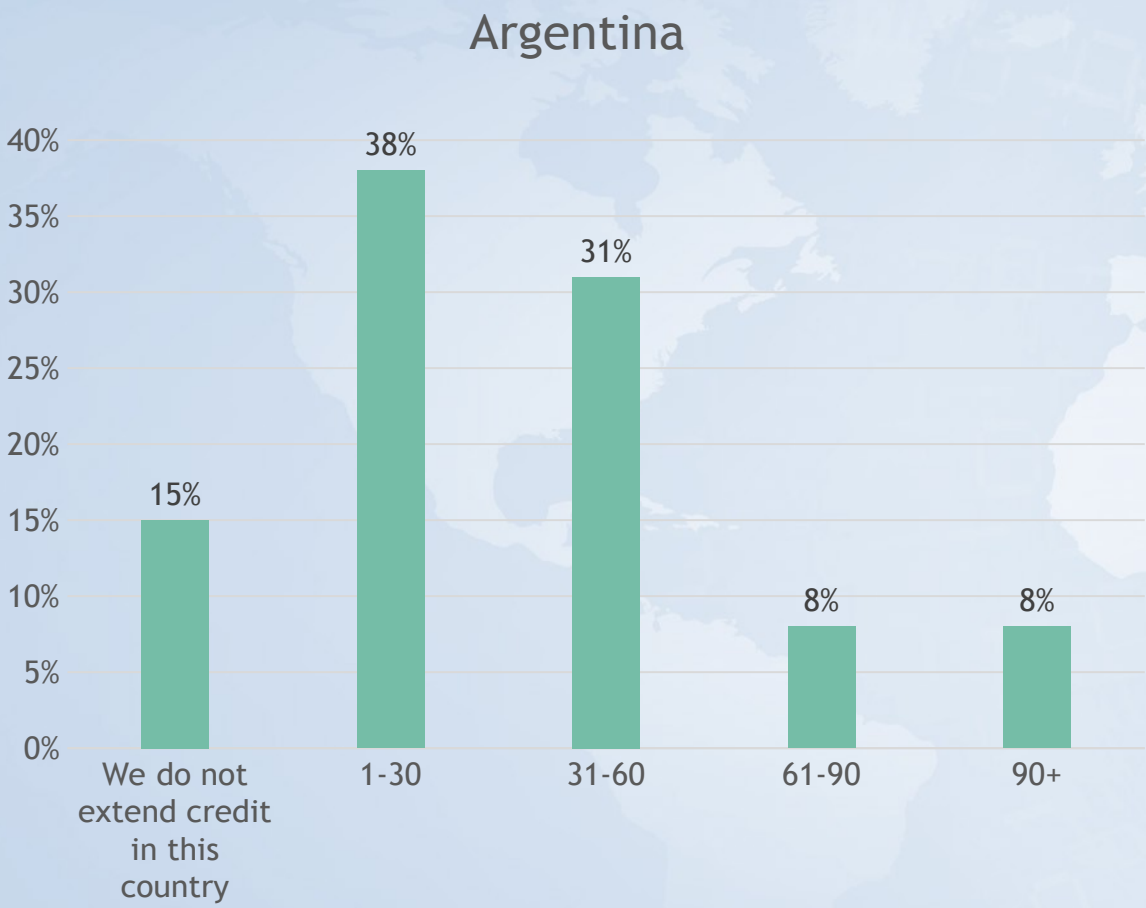
FCIB Credit & Collections Survey

Argentina, Taiwan, United Kingdom, Venezuela

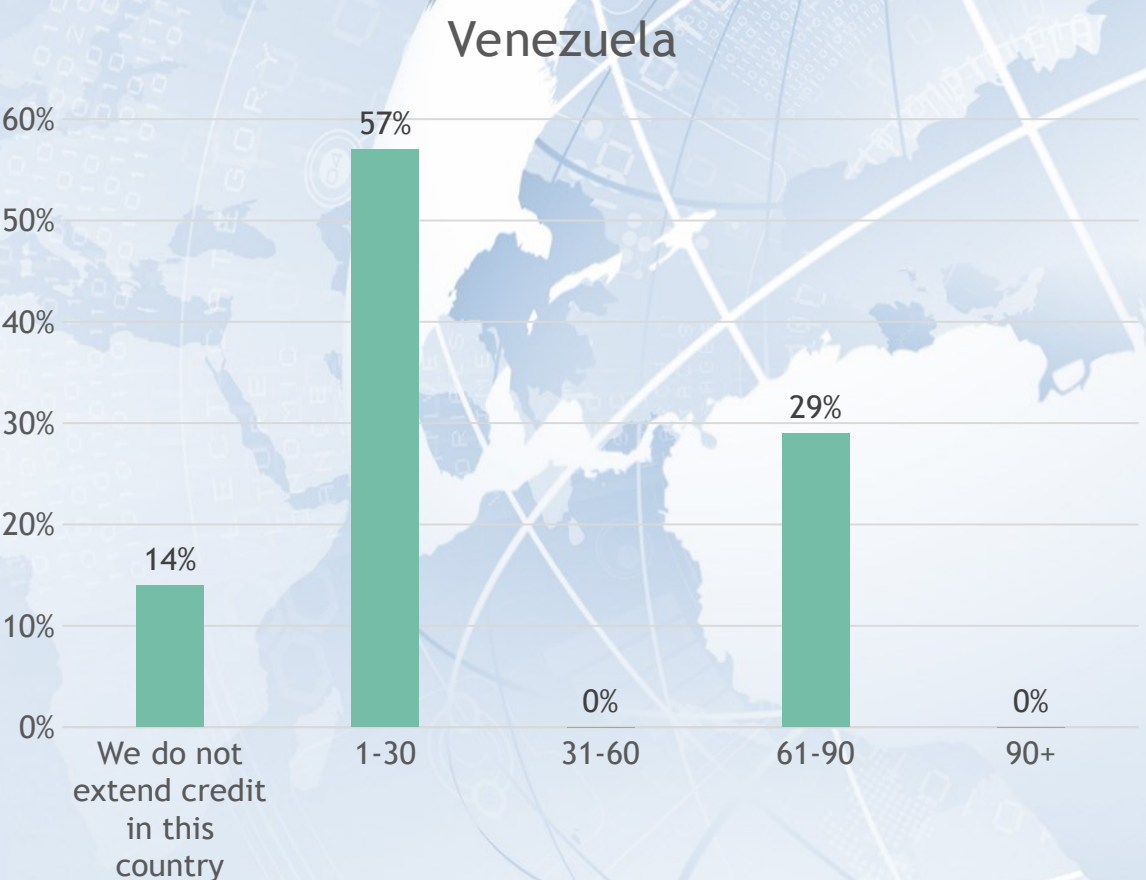
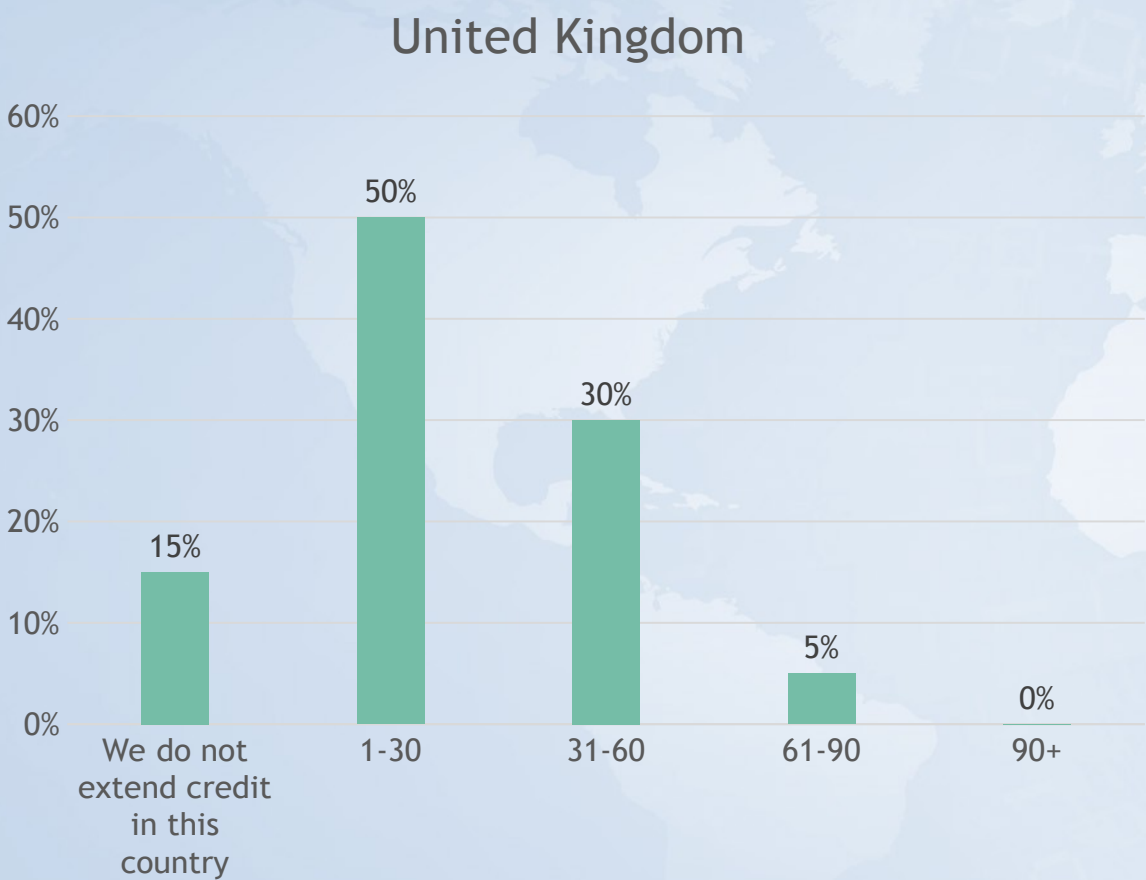
Are your sales primarily to new or existing customers?



On average, what payment terms are you granting?



On average, what payment terms are you granting?



What is the average number of days beyond terms in these countries?

Argentina

23

Taiwan

11

United Kingdom

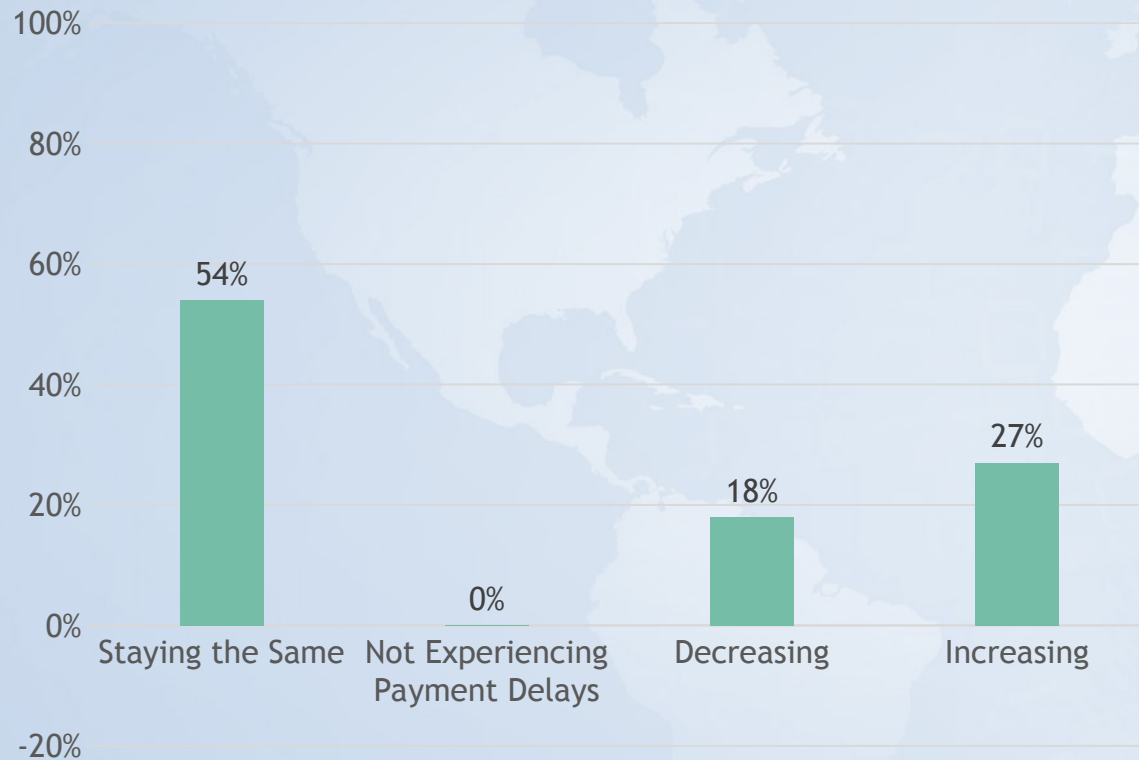
8

Venezuela

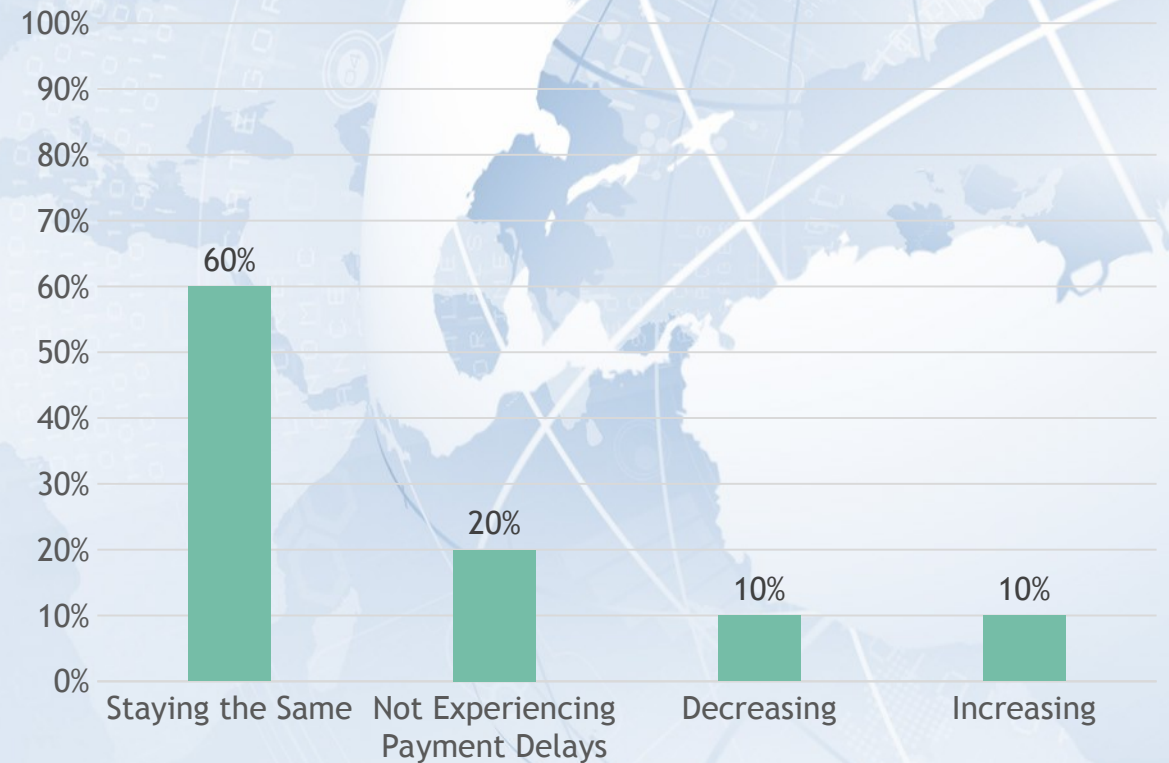
20

Are payment delays increasing, decreasing, or staying the same?

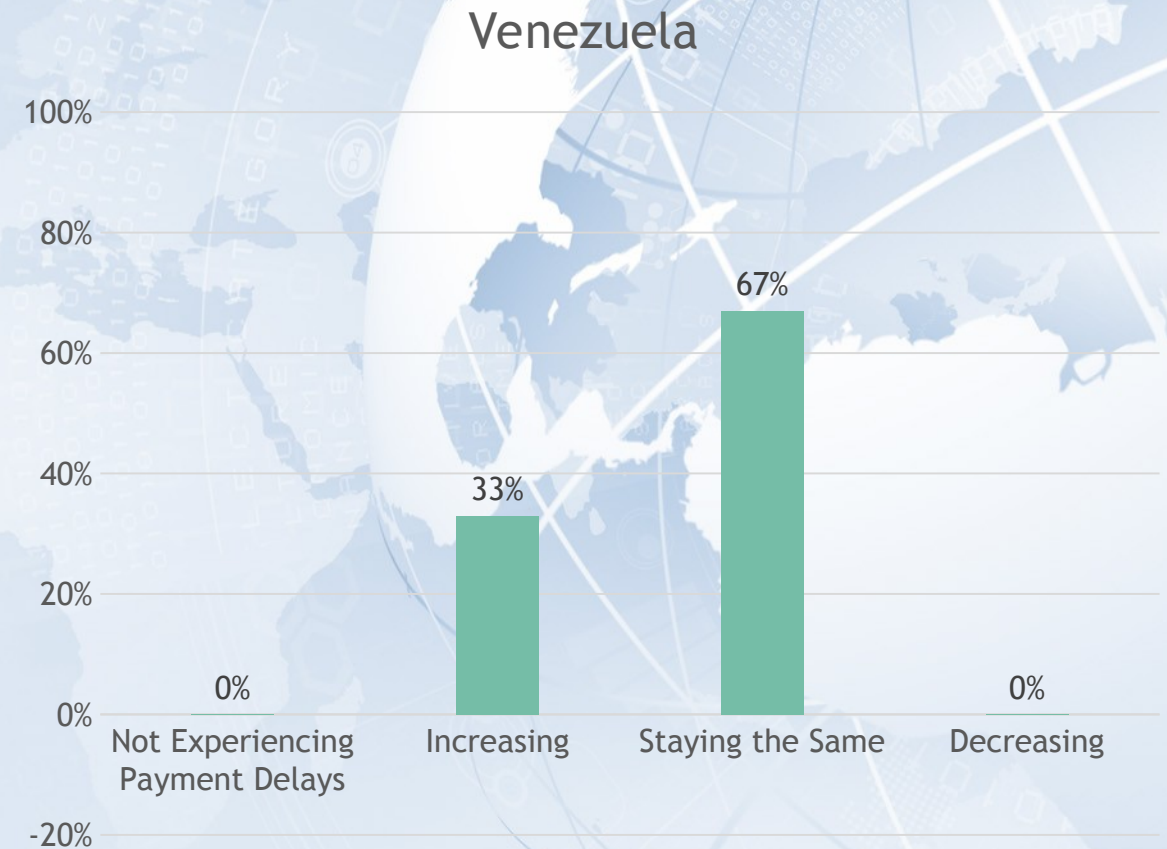
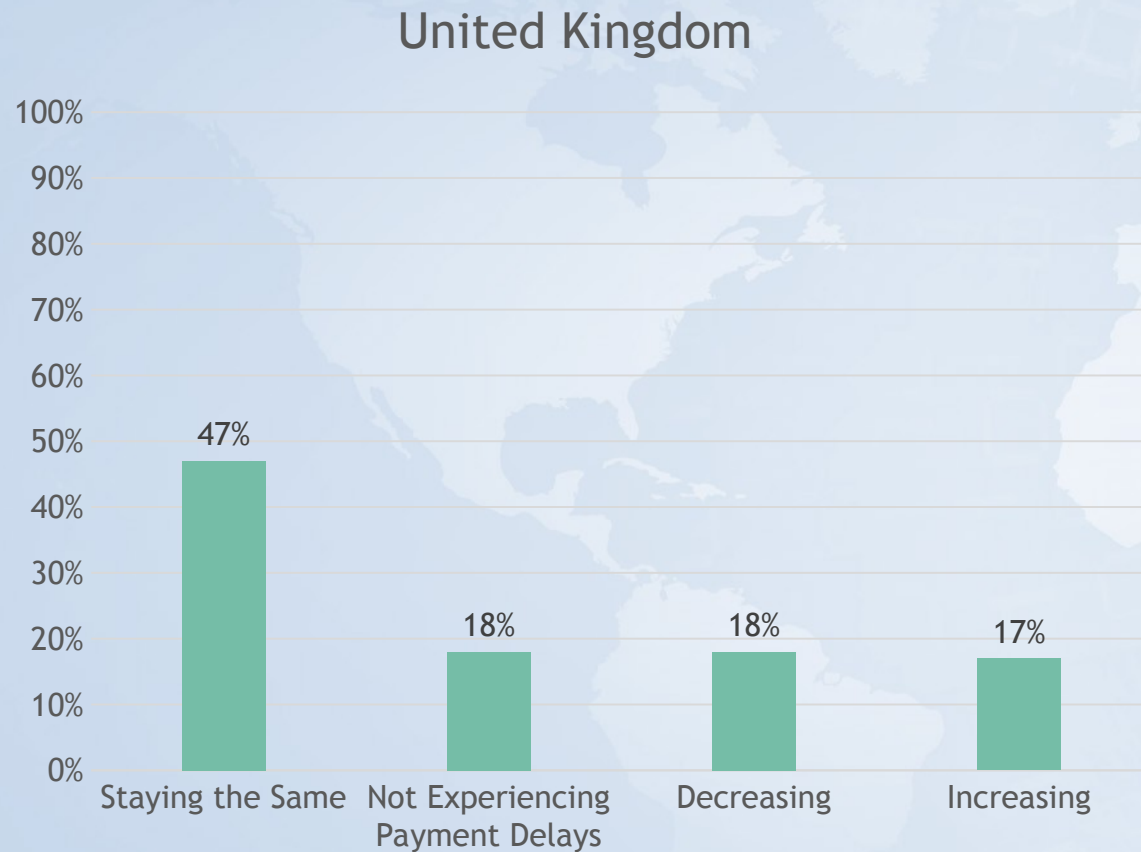
Argentina



Taiwan

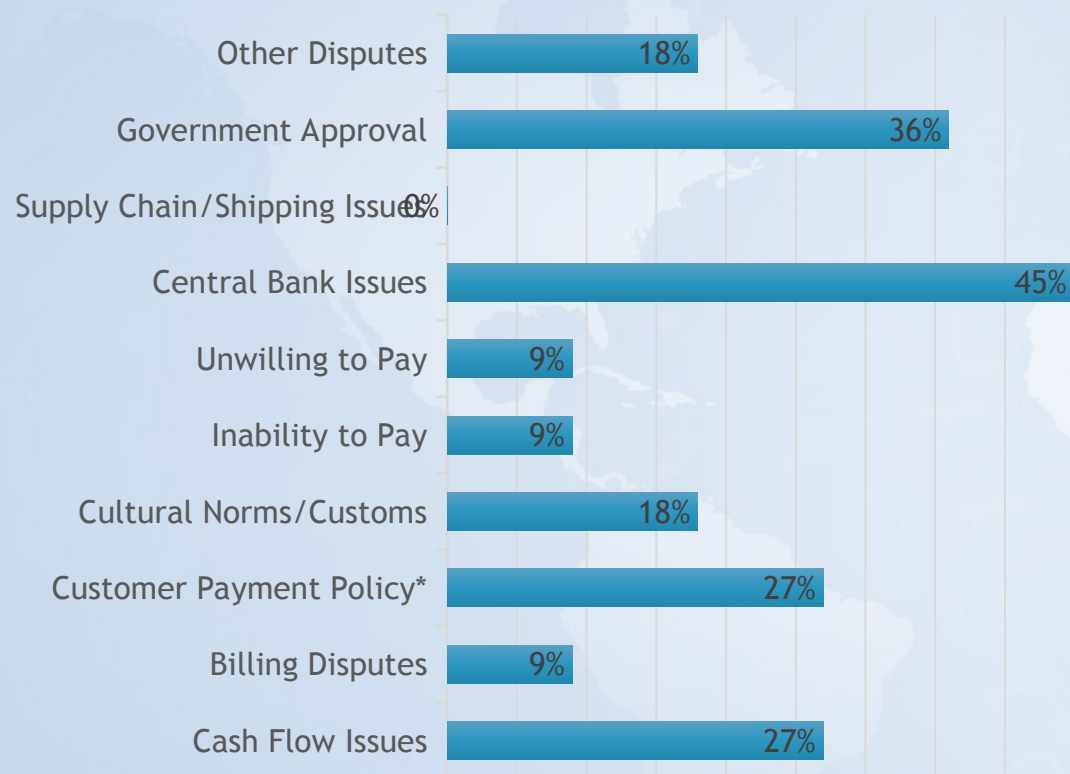


Are payment delays increasing, decreasing, or staying the same?

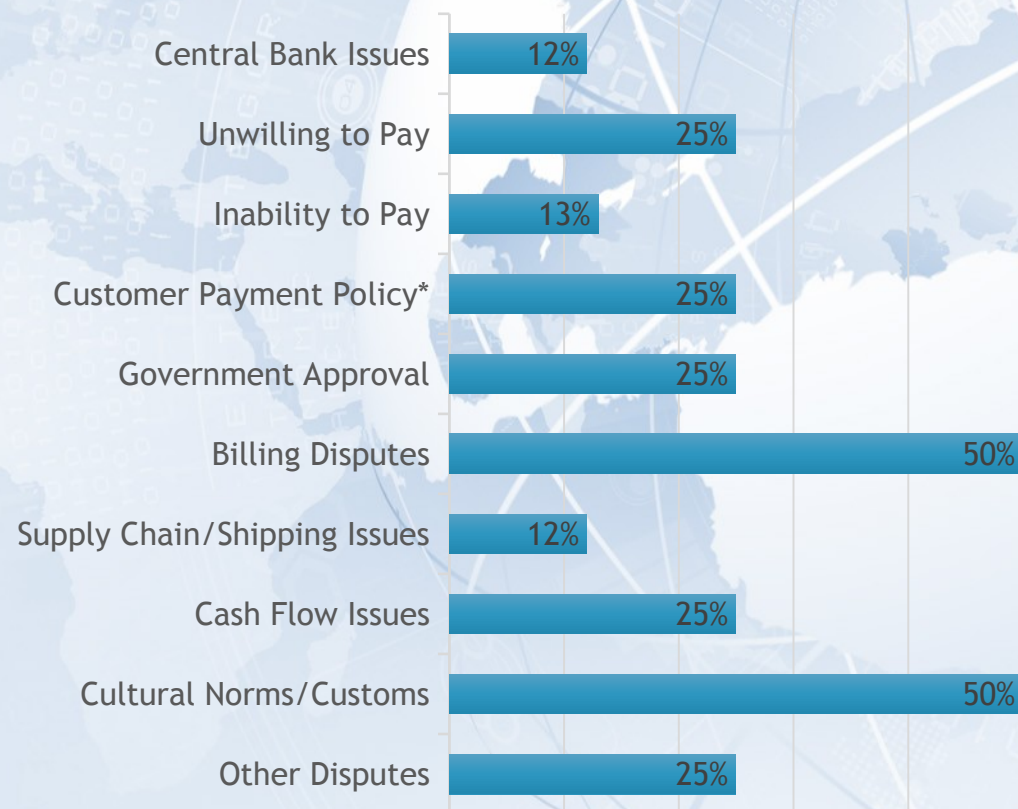


The most common causes of payment delays

Argentina



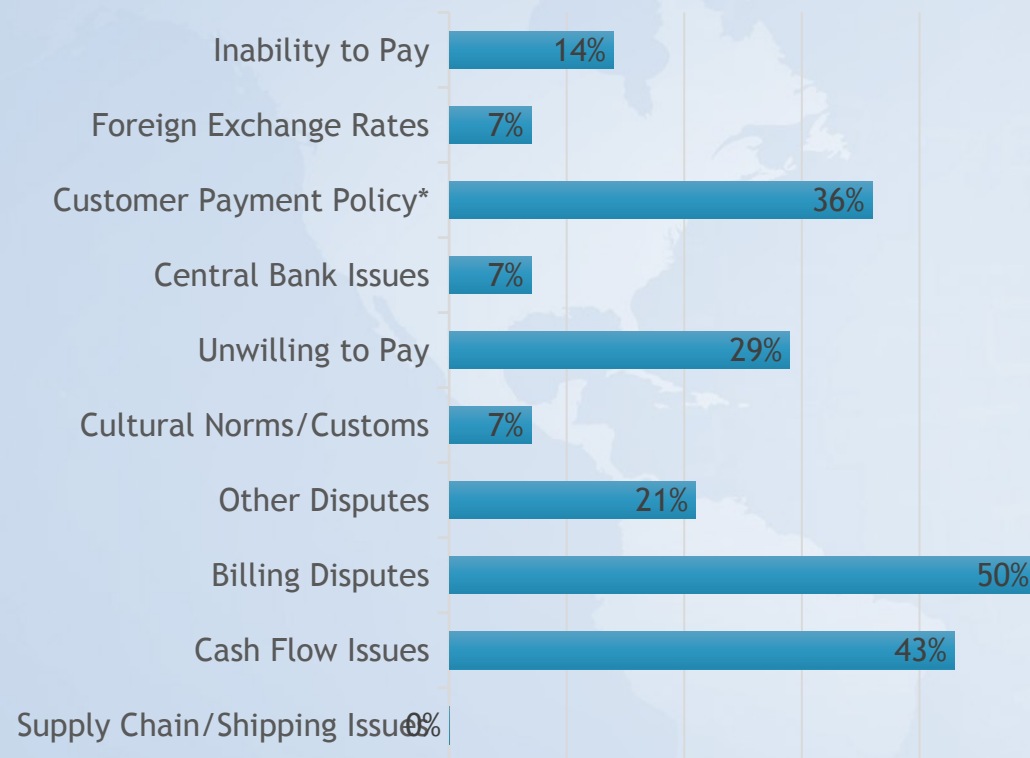
Taiwan



*(i.e. customer only pays on a set day of the month)

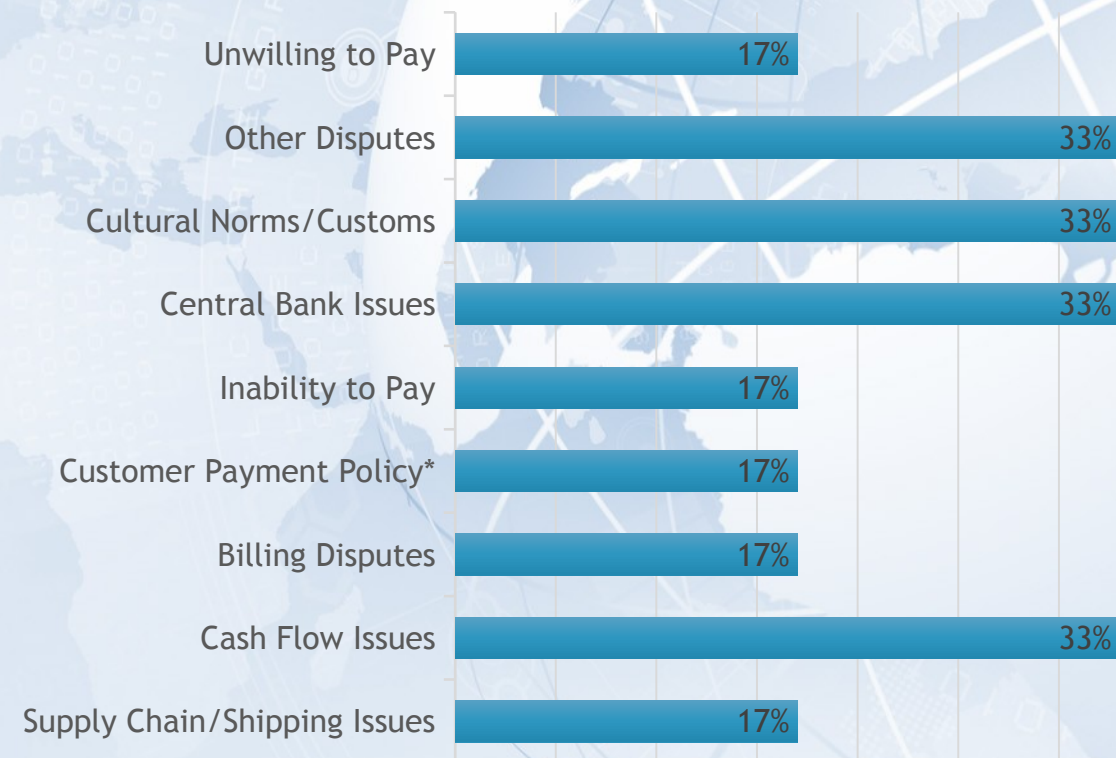
The most common causes of payment delays

United Kingdom



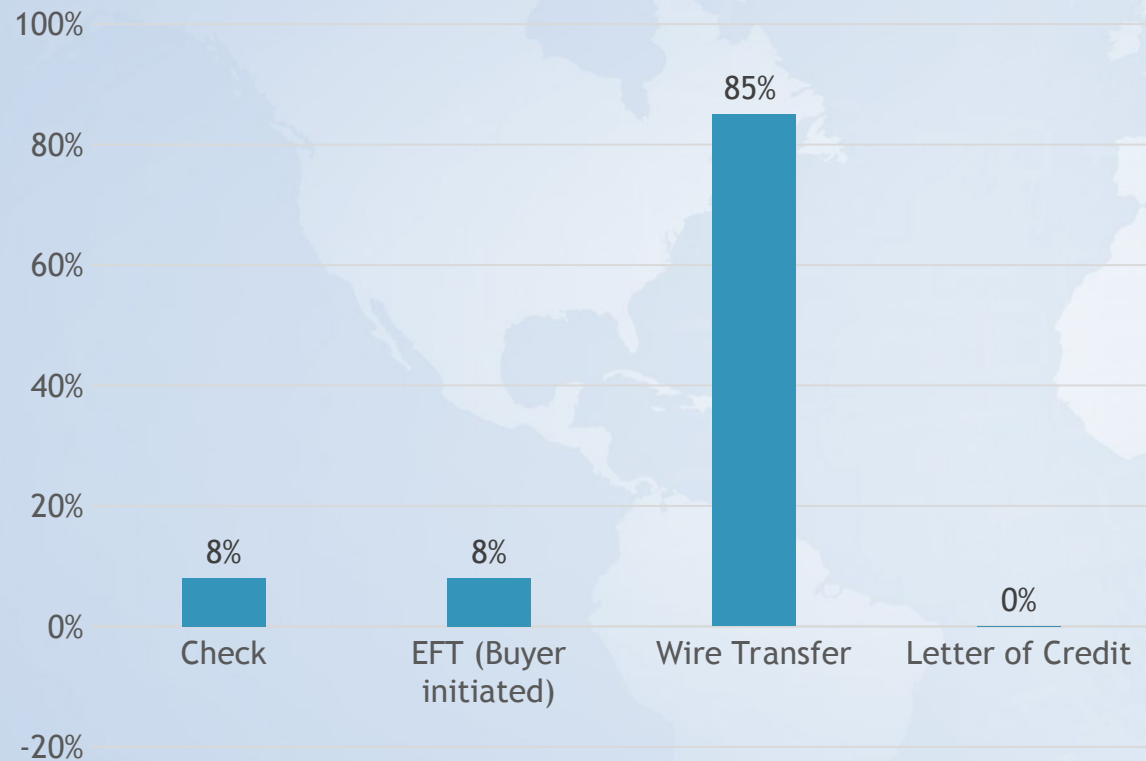
*(i.e. customer only pays on a set day of the month)

Venezuela

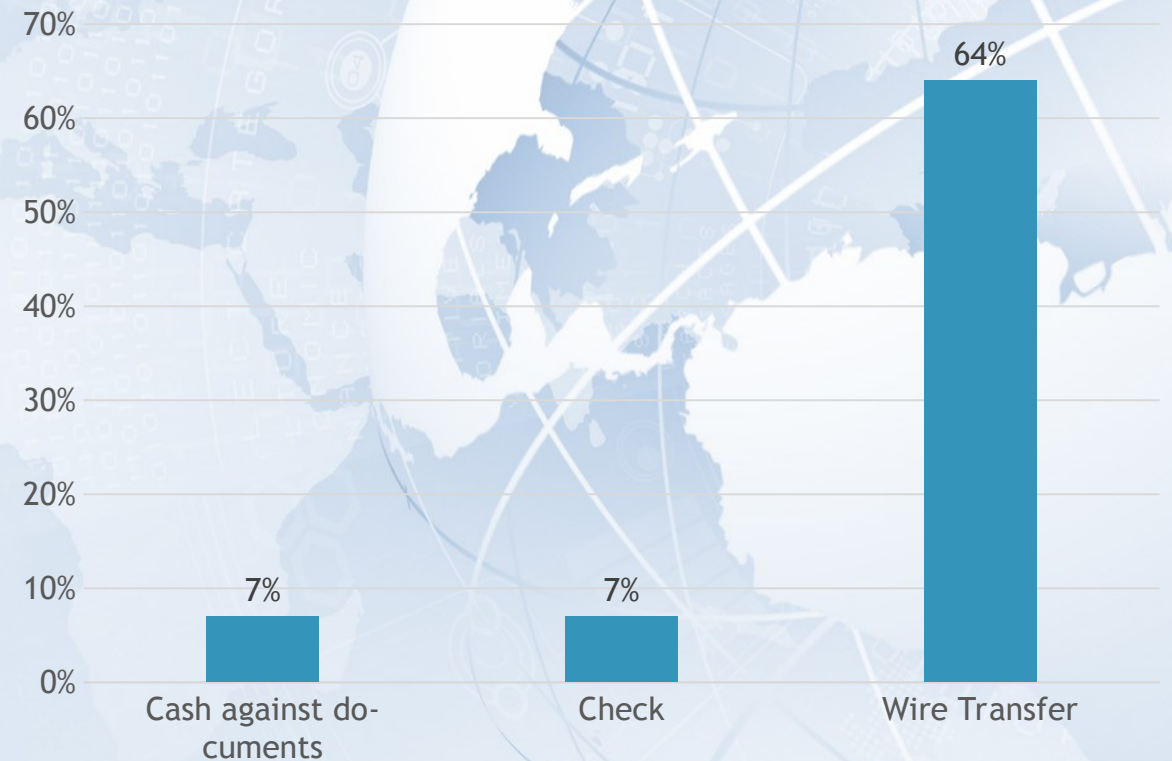


Methods used to secure payment

Argentina

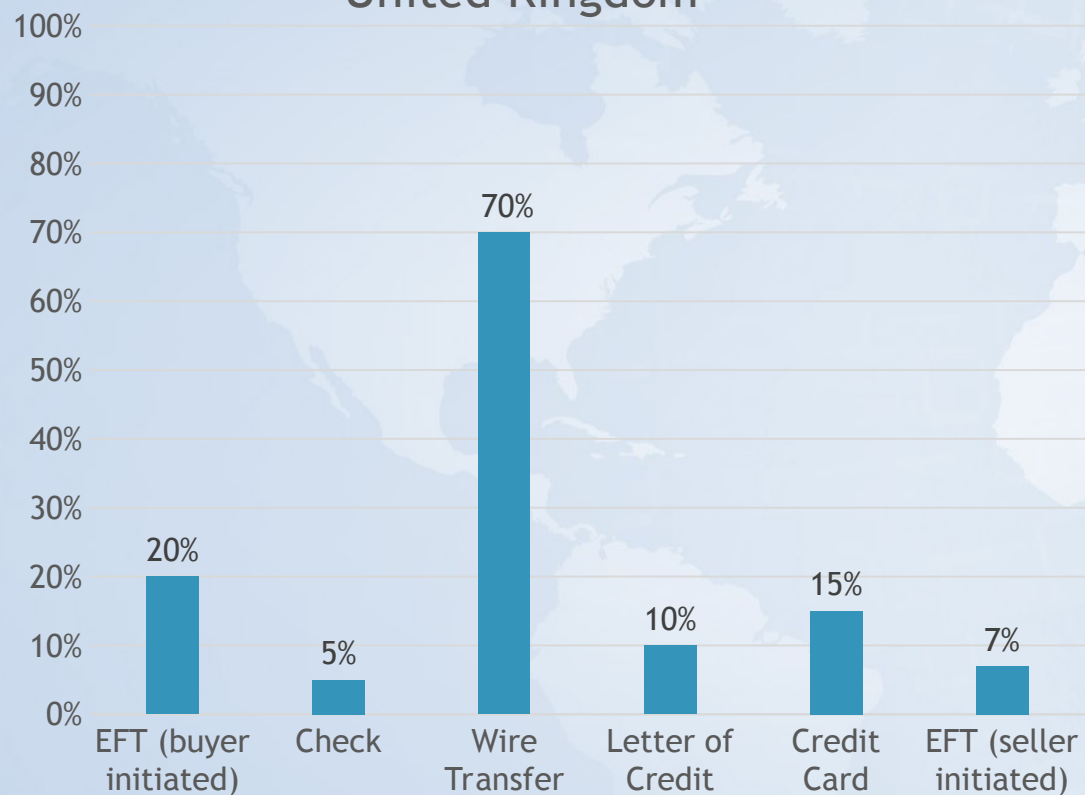


Taiwan

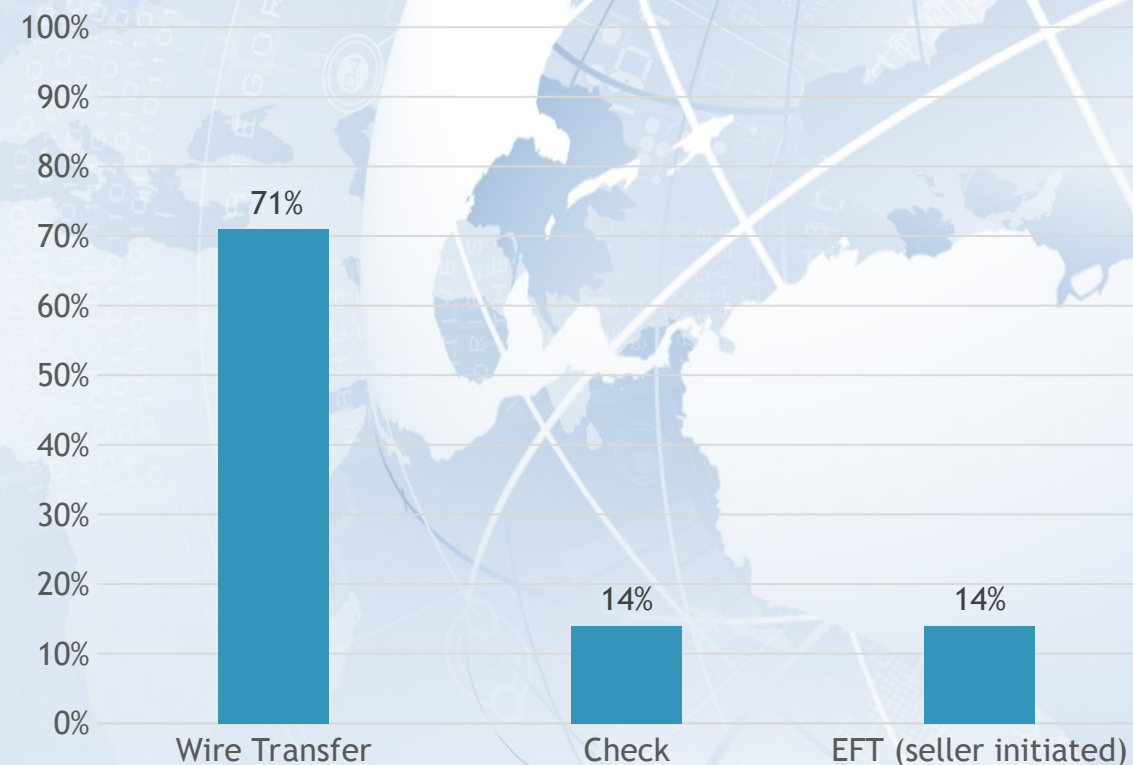


Methods used to secure payment

United Kingdom



Venezuela



Insights from Credit Professionals

Argentina

- Although there is a positive history, it is still a country at risk.
- Be careful in your analyses and maintain close monitoring.

United Kingdom

- Know Your Customer is important

Taiwan

- Customer culture and business cultures/trends. For example, audited financials are not publicly available which makes the evaluation difficult. The customers also demand longer terms and without a proper evaluation, we could be at risk of non-payment.

Venezuela

- Venezuela does not publicly disclose specific business information, leading to policies heavily relying on factors such as years in operation, industry type, and overall country risk. This lack of transparency can result in unnecessary red flags or missed opportunities for effective risk mitigation

Insights from Credit Professionals

Non-country-specific Advice from the survey.

- Know your real customer, not the Trade/Banner name but the True Legal Entity (5 C's of Credit).
- Start early building a relationship with your customer, and include your salesperson - you'll make a team and teams work together.
- Follow up with the customer's Procurement Dept and Finance Dept as many times as necessary.
- Obtain updated credit information Look for owner and addresses verification, as changes are often not communicated by the customer. Know all you can about the customer. Pull a credit report for payment history and legal status and name verification.
- With continued global inflation, war in United Kingdom and high interest, you need to know your true legal customer to prevent fraud and keep your A/R secured.
- It is important to know customer's payment process to avoid misunderstandings or delays due to administrative issues.
- Obtain financial statements on your customers and backstop sales with credit insurance.
- Ensure payment language is on the wire payments received.